Hilton

Global Financial Risk Management Policy

Policy Number: FP-FIN-206
Policy Owner: Mike Hollman
Department Sponsor: Treasury
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PURPOSE

Hilton Worldwide is exposed to financial risks, including but not limited to fluctuations in foreign exchange rates (FX) and interest rates (IR), in the normal course of business. These may cause volatility or other adverse impacts to future cash flow, earnings or other financial metrics. Team Members engaged in transactions impacting Hilton Worldwide's exposure to these risks must follow the guidelines outlined in this policy.

POLICY SUMMARY

Hilton Worldwide has established a policy and process to ensure consistency, appropriateness and standardization in its approach to dealing with financial risks and the hedging thereof. The policy seeks to ensure best practice by maximizing economic value, financial control, process efficiency and visibility to financial data. Team Members are responsible for supporting that effort through compliance with this policy and are required to read and comply with all applicable policies.

Treasury is solely authorized to execute derivatives on behalf of any Hilton entity (see Applicability). Certain other Team Members in Operations Finance are authorized to execute FX spot transactions as specified in Section D. Any use of FX spot or derivative instruments for *speculative purposes* (i.e., not hedging) is strictly forbidden. Violation of this policy may result in disciplinary action.

Questions related to this policy or other financial risk topics should be directed to Treasury.

BACKGROUND / SCOPE

Fluctuations in financial market prices, including foreign exchange and interest rates, can erode enterprise value through volatility, lack of visibility and financial loss associated with future cash flows and earnings. Prudent management of financial risk is essential for sustainable growth.

Hilton Worldwide policies must be reviewed, maintained and made available to all applicable employees to promote compliance and accountability.

APPLICABILITY

This policy applies to all Team Members engaged in any aspect of financial risk management, including FX and IR transactions, on behalf of Hilton Worldwide, including all corporate entities, and any owned and leased properties.

Hilton joint ventures, managed entities and homeowners associations ("HOAs") are not directly subject to the provisions in this policy; however, any FX/IR management activities at those entities should be conducted in a manner consistent with the objectives and principles defined herein. This policy should be applied at joint ventures, managed entities and HOAs in the absence of specific FX/IR policies defined in their respective management agreements or other governing documents.

EXCLUSIONS / EXCEPTIONS

See Applicability.

POLICY DETAILS

A. Financial Risk Management Objectives	Hilton's primary objective in managing financial risk is to protect future cash flow from fluctuations in financial market prices, including foreign exchange and interest rates. Hilton may use financial instruments, including derivatives, to mitigate such risks and shall endeavor to do so at the lowest possible cost. Where appropriate, Hilton shall also seek to minimize or avoid volatility in GAAP and non-GAAP earnings associated with underlying financial risks and/or hedging strategies. This policy also outlines a control framework to ensure that an appropriate process is in place regarding the use of derivatives.
B. Authority (CFO)	As of November 12, 2015, the Audit Committee of Hilton Worldwide's Board of Directors has delegated to the Chief Financial Officer ("CFO") the authority to: (1) Implement this policy, including the review and approval of Hilton's use of derivatives, (2) Review annually and propose subsequent changes to this policy (see Section K), and (3) Elect the End-User Exception to derivative transactions, as applicable, with respect to the Mandatory Clearing provision under the Dodd-Frank Act (see Section J).
C. Authority (Treasury)	Under the terms of this policy, the CFO hereby delegates to Treasury the authority to: (1) Approve certain FX and IR transactions, subject to Approval Limits (see Section F) and (2) Execute, verify and settle FX and IR transactions, subject to Exposures & Hedging rules (see Section E). To ensure segregation of duties, all FX and IR transactions, excluding those FX Spot transactions processed by Operations Finance per Section D, shall be executed by Treasury Front Office and shall be verified and settled independently by Treasury Back Office. **Treasury is solely authorized to execute FX or IR Derivatives on behalf of any Hilton entity.**
D. Authority (Operations Finance)	Team Members in Operations Finance outside the US and UK are authorized to execute only FX Spot transactions as needed to effect cross-border cash payments and receipts, subject to the needs of the business and any applicable Operations Finance policies. **No Team Member outside of Treasury is permitted to execute any FX or IR Derivative on behalf of any Hilton entity.**
E. Exposures & Hedging	For purposes of this policy, Hilton defines four categories of financial risk exposure for hedging consideration. (1) **In-House Bank (IHB) FX Exposure** includes Net Monetary Assets associated with cross-border cash pooling, intercompany funding and intercompany payment settlement under a Hilton In-House Bank. ▪ Hilton shall target an appropriate hedge ratio within a net position limit of +/- $2.5 million, for each currency, excluding Pegged and Unhedgeable Currencies. ▪ Treasury Front Office shall use FX Spot and/or FX Derivative instruments, as appropriate, to achieve FX target positions, while maintaining appropriate cash liquidity per currency. ▪ Treasury Front Office shall monitor FX-IHB exposure daily, recommend and execute hedging actions, subject to Approval Limits (see Section F).

(2) **Discretionary FX Exposure** can include (a) any other Net Monetary Assets outside a Hilton In-House Bank or (b) any Forecasted Cash Flows.

- Treasury Front Office may seek to identify potential opportunities for hedging Other FX Exposure, where risk-adjusted cost/benefit analysis is compelling and shall propose hedging strategies for consideration by management and subject to Approval Limits (see Section F).

(3) **Mandatory IR Exposure** is exposure to floating interest rates associated with a specific loan agreement and as defined by the terms of that agreement.

- Treasury Front Office shall identify any hedging requirements regarding Mandatory IR Exposure as defined in the loan agreement and shall propose and execute such transactions, subject to Approval Limits (see Section F).

(4) **Discretionary IR Exposure** is exposure to floating interest rates associated with debt instruments generally, whether included under Mandatory IR Exposure or not. In such cases, Hilton will generally seek to maintain an acceptable mix of fixed and floating rate exposure as defined by management.

- Treasury Front Office may seek to identify Discretionary IR Hedging opportunities associated with Hilton Worldwide's debt portfolio and may propose and execute such transactions, subject to Approval Limits (see Section F).

F. Approval Limits

The following transaction limits shall apply to any incremental FX or IR transaction, or related group thereof, with an external counterparty, based on the type (see Section E) and notional size of the transaction:

	Foreign Exchange		Interest Rates	
Position	**In-House Bank**	**Discretionary**	**Mandatory**	**Discretionary**
Director, Treasury	<= $10m	n/a	n/a	n/a
Snr Dir, Treasury	<= $25m	n/a	n/a	n/a
VP, Treasury	<= $50m	<= $25m	<= $100m	n/a
SVP & Treasurer	<= $100m	<= $100m	<= $500m	<= $100m
EVP & CFO	<= $250m	<= $250m	> $500m	<= $500m
President & CEO	> $250m	> $250m	n/a	> $500m

Intercompany FX derivatives may be used for the purpose of consolidating FX Exposures within a single entity. Any intercompany FX derivative transaction requires the approval of a Vice President within Treasury. An *incremental* Transaction is one increasing Hilton's total derivatives portfolio. Rollovers or other extensions of existing transactions are not considered incremental transactions; therefore they can be approved by a Director.

G. Acceptable Counterparties

Any FX or IR transaction as defined in this policy, excluding (a) intercompany FX transactions or (b) FX Spot transactions executed by Operations Finance, must be executed with an Acceptable Counterparty. Unless otherwise required under the terms of a Mandatory IR hedging transaction, an Acceptable Counterparty must have a Hilton lending relationship and a minimum short-term rating of A2/P2 from S&P/Moody's. Treasury shall maintain a list of Approved Counterparties. The Treasurer must approve any change or exception to that list.

H. Hedge Accounting

The Chief Accounting Officer ("CAO") shall determine the accounting treatment for all derivatives in accordance with applicable Accounting policies. Treasury shall notify Accounting Research & Policy prior to the execution of any new hedging instrument or hedging program.

In general, In-House Bank FX derivatives shall not be designated as hedges per ASC 815 because the resulting FX gain/loss should offset that arising from the exposed net asset or liability transaction(s). Hedge accounting treatment for all other FX or IR derivatives shall be considered by the CAO on a case-by-case basis.

I. Reporting

Management shall present to the **Audit Committee**, on at least an annual basis, a summary of derivatives activity, including an explanation of periodic FX/IR results and a statement as to the effectiveness of hedging programs and compliance with this policy, including use of the End-User Exception from mandatory clearing and any recommendations for revisions to this policy.

In addition, Treasury shall provide, at the direction of **Management**, various forms of reports, which may include:

- To the Vice President within Treasury (daily): a summary of FX positions under management
- To the Vice President within Treasury (weekly): a review of FX hedging activity, with FX trading volumes and credit exposure per external counterparty
- To members of the Finance Leadership, including SVPs of Treasury, Accounting, Tax and FP&A plus key team members (monthly): a summary of periodic FX results impacting P/L and OCI, with explanation of FX drivers, analysis by currency and exposure type and any substantive changes in exposure or hedging activity
- To the CFO (quarterly): a summary of information sent to the Finance Leadership team above

J. Regulation

All derivatives shall be executed in a manner compliant with applicable regulations, including the Dodd-Frank Act. The Dodd-Frank Act requires that certain derivatives (swaps) be centrally cleared through a derivative clearing organization and executed on an exchange (Trade Execution). The Commodity Futures Trading Commission (CFTC) makes determinations as to which swaps are required to be cleared (Mandatory Clearing). Corporate end users may elect to use an exception from Mandatory Clearing (the End-User Exception) if they meet certain conditions, including that their swaps are used to mitigate their commercial risk. These uncleared swaps also will not be subject to Trade Execution. Certain IR and FX derivatives used by Hilton Worldwide, including non-deliverable FX forwards (NDFs), may be or become subject to Mandatory Clearing (Covered Derivatives). Hilton Worldwide may only elect to apply the End-User Exception in connection with Covered Derivatives that are entered into in compliance with this Global Financial Risk Management Policy (such trades, Permitted Derivatives) or as otherwise approved by the Board of Directors or the Audit Committee.

The Board of Directors has delegated to the Audit Committee the authority to approve use of the End-User Exception to permit Hilton Worldwide to enter into Covered Derivatives without Mandatory Clearing and Trade Execution. By adopting this Global Financial Risk Management Policy, the Audit Committee has approved the use of the End-User Exception and delegated to the CFO responsibility for implementing this policy with respect to Mandatory Clearing. Hilton is eligible to elect the End-User Exception when executing Covered Derivatives on the basis that (1) Hilton is not a swap dealer, major swap participant (MSP) or “financial entity”; (2) the swap is being used for commercial risk mitigation purposes and not investment, trading or speculation; (3) the Board has approved Hilton’s election of the End-User Exception and this Global Financial Risk Management Policy; and (4) Hilton has notified its Approved Relationship Bank counterparty as to how Hilton generally meets its financial obligations associated with entering into uncleared swaps. Hilton hereby elects the End-User Exception for all Permitted Derivatives unless, in the opinion of the CFO, a Permitted Derivative would provide better hedging or risk protection or be more cost-effective if cleared. Any such determination must be contemporaneously documented, including the reasons therefor.

Treasury Front Office shall notify each of Hilton’s Approved Relationship Banks (as required by the Approved Relationship Bank in its trading documentation with Hilton) of its election of the

	End-User Exception and provide the information necessary to rely on the End-User Exception. Treasury Front Office shall update the information as necessary to keep it current.
K. Policy Review	This policy shall be reviewed, and revised as appropriate, at least annually. Any changes to this policy are subject to the approval of the Audit Committee and the CFO.
L. Recordkeeping	Hilton shall keep all records relating to its use of Swaps, including its use of the End-User Exception, for at least five years after termination of a Swap. Records may be kept in either electronic or paper form. Records must be retrievable within five business days and will be made available to the CFTC for inspection upon request.
M. Tax Matters	All FX instruments will be executed by Hilton Worldwide FS Treasury Ltd ("UK Finco") for the purpose of managing the risk of currency fluctuations of UK Finco UK FinCo will elect to adopt Treasury Reg. 1.988-7 with the 2022 US tax return and going forward, which would apply a mark-to-market method of accounting to all Section 988 transactions (including intercompany notes and hedges). Identification as Hedging Transaction for Purposes of Internal Revenue Code Sections 1092, 1221, 1256 and 263(g) and Treas. Reg. §1.446-4 As provided by Reg. Sec. 1.1221-2(f)(4)(iv)(B), it is our intention that all future external FX instruments, including FX Swaps, FX Forwards and FX Spots, entered into by UK Finco under this policy to manage the risk of currency fluctuations with respect to borrowings made or to be made, or ordinary obligations incurred or to be incurred, by the taxpayer, are to be contemporaneously identified: (i) as a hedging transaction within the meaning of sections 263(g), 446, 1221(a)(7), 1092(e), 1256(e), and Treas. Reg. §§1.446-4, 1.1221-2(f), and 1.1256(e)-1, and (ii) as a bona fide hedging transaction with the meaning of §954 and Treas. Reg. §1.954-2(a)(4)(ii) Hilton Treasury will provide any reports, documents, and/or calculations needed by Hilton Tax to properly identify the underlying hedged items within 35 days of entering into a hedging transaction.

PROCESS FLOWS & DIAGRAMS

n/a

DEFINITIONS

Term / Acronym	Definition
Dodd-Frank Act	U.S. financial regulation enacted in 2010 that includes provisions in areas such as oversight of systemic risk, risk governance, consumer financial protection, and derivatives regulation. The Dodd-Frank Act governs use of many derivatives that had not been previously regulated (swaps) and imposes certain requirements, including Mandatory Clearing and Trade Execution.
End-User Exception	Under the Dodd-Frank Act, a swap counterparty may opt out of Mandatory Clearing (and not be required to submit the swap for Trade Execution), by electing the End-User Exception, provided that, subject to approval of its board of directors: (1) it is not a swap

	dealer, major swap participant (MSP) or other “financial entity”; (2) the swap is being used for commercial risk mitigation purposes, not investment, trading or speculation and (3) it notifies its swap counterparty as to how it generally meets its financial obligations associated with entering into uncleared swaps.
Forecast Cash Flow (FCF)	FCF exposure includes Non-Functional Currency cash flows from transactions that are not yet recorded as assets or liabilities but are firmly committed or highly likely to occur over a foreseeable horizon. Examples include: - Hotel fees and affiliated payments - Vendor and other external payments - Acquisition or disposition of foreign assets - Intercompany equity investment or distributions (e.g., dividends)
Functional Currency	The currency in which an entity records its financial statements.
FX Derivative	Any FX Forward, Swap or Option transaction.
FX Forward	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at a future date, typically more than two business days after execution.
FX Non-Deliverable Forward	An FX Forward that does not allow delivery of the currencies at maturity, but rather is net settled in a reserve currency (e.g., US dollar).
FX Option	A contract granting the buyer the right, but not the obligation, to buy an amount of one currency in exchange for another at a fixed rate at a future date, typically more than two business days after execution, in exchange for a cash premium paid up front to the seller of the option.
FX Spot	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at an immediate date, typically two business days after execution.
FX Swap	A contract to buy an amount of one currency in exchange for an amount of another currency at a fixed rate at an immediate date, typically two business days after execution, and sell back a similar amount of the same currency at a different rate at a future date.
FX Transaction	Any contract between two parties to exchange one currency for another, including FX Spot or FX Derivative.
In-House Bank (IHB)	An In-House Bank (IHB) is a wholly owned subsidiary used to consolidate currency and liquidity positions across multiple entities in multiple countries. It typically provides the following banking services: - Short-term borrowing and lending (cash deposits and withdrawals) - Intercompany cashless payments - Third-party cross-currency cash payments Hilton currently uses Hilton Worldwide FS Treasury Ltd (“UK FinCo”) and Hilton Worldwide Domestic FS Treasury LLC (“US FinCo”) to provide IHB services to the majority of eligible entities in the US and abroad, but have introduced and may further introduce other regional IHB entities as the needs of the business change.
Net Monetary Asset (NMA)	NMA exposure includes monetary assets and liabilities that: (a) represent, or are exchangeable for, fixed amounts of cash or other liquid assets, (b) are denominated in Non-Functional Currency and (c) are remeasured periodically with any periodic FX revaluation being recorded in earnings. Examples include: - Bank cash & cash investments

	- Accounts payable & receivable (including intercompany) - Notes payable & receivable (including intercompany[1])
Non-Functional Currency	Any currency other than the Functional Currency of an entity.
Pegged Currency	A currency with an exchange regime that that pegged at a fixed rate to the USD. Current examples include Saudi riyal (SAR) and UAE dirham (AED).
Unhedgeable Currency	A currency for which no derivative or spot hedging instruments exist.

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
Treasury Front Office	The Treasury Front Office is responsible for: ▪ Identifying and monitoring Hilton's enterprise-wide FX exposure ▪ Identifying hedging strategies appropriate for the exposure and compliant with this policy, with input from Tax and Accounting ▪ Executing external and intercompany FX transactions ▪ Managing Hilton's global portfolio of FX transactions ▪ Communicating with Hilton's FX banking partners as needed, including providing and updating information necessary for the election of the End-User Exception and maintaining a current list of Approved Relationship Banks
Treasury Back Office	The Treasury Back Office is responsible for: ▪ Independently verifying all FX Transactions executed with external banks and notifying appropriate staff of any errors on a timely basis ▪ Settling all payment obligations as required under external or intercompany FX contracts and advising other counterparties of correct settlement instructions for receipts ▪ Communicating with Hilton's FX banking partners as needed
Treasurer	The Treasurer is responsible for: ▪ Reviewing periodic reports and ensuring that hedging activities are executed in a manner consistent with this policy
CAO	The office of the Chief Accounting Officer is responsible for: ▪ Identifying and advising Treasury of any FX accounting implications ▪ Determining the appropriate accounting for and journalizing all FX and intercompany funding transactions, with transaction data from Treasury
CFO	The Chief Financial Officer is responsible for:

[1] Short-term intercompany funding includes Short-Term Intercompany Notes and In-House Bank Accounts, but excludes Long-Term Intercompany Notes, deemed to be of a permanent investment nature per ASC 830 (see FP-FIN-201 *Global Intercompany Payments and Funding Policy*).

	- Reviewing and approving the company's use of derivatives subject to this policy, including election of the End-User Exception - Reporting on implementation of this policy to the Audit Committee - Reviewing this policy annually and recommending to the Audit Committee changes as appropriate - Determining the appropriate accounting for and journalizing all FX and intercompany funding transactions, with transaction data from Treasury

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
FP-FIN-201 Global Intercompany Payments and Funding Policy	FP-FIN-201 Global Intercompany Payments and Funding Policy
FP-FIN-039 Derivatives and Hedging Accounting Policy	FP-FIN-039 Derivatives and Hedging Accounting Policy

Tools / Templates	Location

n/a